Syllabus Fall 2025
Harvard Kennedy School of Government
Harvard University

ECONOMIC DEVELOPMENT: THEORY AND EVIDENCE
DEV-101

Class in Fall 2025: Mon/Wed, 10:30-11:45am, in WEX-332
Review Sessions: Wed, 3:00-4:15pm in L-280, and 6:00-7:15pm in R-304

***First day of class is Friday, September 5, 2025**

Faculty	Professor Eliana La Ferrara Office hours: Wednesdays, 4:00-6:00pm, or by appointment (sign up here for Professor La Ferrara) Assistant: Christine Dziuba, christine_dziuba@hks.harvard.edu	Professor Dani Rodrik Office hours: Tuesdays, 12:45-2:45pm, or by appointment (sign up here for Professor Rodrik) Assistant: Jessica De Simone, jessica_de_simone@hks.harvard.edu

COURSE INFORMATION

DEV-101 is a semester-long course that evaluates theories of economic development and scrutinizes empirical evidence to understand key features of the economic development processes across countries. The course will utilize analytical frameworks, grounded in economic theory, to examine the determinants of factor accumulation by individuals, firms and societies, and productivity and efficiency of resource allocation across activities and time. Drawing on empirical evidence and country illustrations, we will evaluate the relevance of these frameworks for diagnosing root causes of economic development and to develop an understanding of how the judicious use of theory and empirics can provide guidance for economic policy reforms. The course is organized along the following broad sections: (i) a methodological overview, with an emphasis on analytical frameworks for understanding economic growth, factor accumulation and institutional outcomes; (ii) an historical overview of comparative economic development, with focus on the Industrial Revolution, the Great Divergence, and colonialism; (iii) an analysis of individual decision-making in relevant domains, including the economics of the family, the determinants and returns to investment in human capital (health and education), and financial capital (credit markets, savings behavior), and constraints to factor accumulation; (iv) determinants of productivity, with emphasis on resource misallocation within and across households/firms, poverty traps, learning and coordination and their impacts on productivity; (v) principles of economic reform and introduction to policy design; and (vi) the role of political factors and social norms in development.

Teaching Fellow	Email	Office Hours
	_____	Please see Canvas

Course Assistants	Email	Office Hours
	_____	Please see Canvas
	_____	Please see Canvas
	_____	Please see Canvas

COURSE REQUIREMENTS AND GRADING

Eligibility

The class is a core requirement for students in the MPA/ID program. **Non-MPA/ID students will not be admitted to the course. Auditors are not allowed.**

Pre-requisites

Students will be assumed to have basic familiarity with empirical methods of regression analysis and impact evaluation (e.g., difference-in-differences, instrumental variables, randomized controlled trials). For those who would like to review these methods at a very basic level (more will be done in other core courses), the following readings constitute useful background:

- Angrist, Joshua D., and Jörn-Steffen Pischke. 2014. *Mastering'metrics: The path from cause to effect*, Princeton University Press, (selected chapters).
- Athey, Susan, and Guido W. Imbens. 2017. "The State of Applied Econometrics: Causality and Policy Evaluation," *Journal of Economic Perspectives,* 31 (2): 3-32.
- Duflo, Esther, Rachel Glennerster, and Michael Kremer. 2007. "Using Randomization in Development Economics Research: A Toolkit," Chapter 61 in T. Paul Schultz and John Strauss eds., *Handbook of Development Economics*, 4, North Holland, pp. 3895-3962.

General requirements

Students are expected to prepare for each class by doing the required readings (see below), available on Canvas. Students are expected to arrive on time so that they are seated and ready for the class to begin promptly at the 10:30am start time. To minimize distractions in the classroom, tablets and other devices that lay flat on desks are allowed; laptops are not allowed. In this classroom, we follow the non-attribution rule. You can share in a general way what you learned, but not who said what, without expressed permission. This does not apply to professors or guest speakers, whose comments are on the record.

Grading rubric

Component	Grade x Unit	Total Grade
Assignments	15 x 2	30
Midterm		30
Final		40
Total		**100**

Assignments and exams

The assignments and exams will test understanding of concepts taught in class lectures, discussions, and required readings, and the ability to apply these insights to policy situations. We will have two long assignments, which must be submitted online on Canvas before the scheduled time. One point per 24-hour period will be deducted for late assignments. (However, if you face technical difficulties in submitting then get in touch with the teaching team immediately.)

Regrading policy

On receiving your exam or assignment score, look carefully through the suggested answers and comments provided by the teaching team. Students who still wish to submit their answer sheets for regrading, should write a detailed email to the teaching team explaining their reason to contest a score **within one week** from the date that the graded assignment is returned to the class. The teaching team will assign a different grader from the original one and re-evaluate the **entire** assignment/exam and

determine whether a change in points is mandated across any question, including the ones not highlighted/contested by the student. This process may take up to a week and the outcome will be final. Keep in mind, that the teaching team puts in a great deal of thought and effort in their assessments, and you are encouraged to be cautious/prudent in raising a re-grading issue.

Academic integrity

Students are encouraged to work together and discuss class material and assignments. What is important is the eventual understanding of material achieved, and less about how that is achieved. Any exam, paper or assignment you submit is presumed to be your own original work, so if you do – as you will – use words or ideas written by other people, please make sure to cite these appropriately, and to indicate other students with whom you have collaborated. In addition to syllabus policies, students are subject to the Academic Code in the HKS Student Handbook.

Generative AI Policy

Faculty and practitioners in this field are figuring out how (and how not) to use emerging generative AI tools such as ChatGPT Edu. These tools can save time and expand access to information. However, our goal is the development and deployment of valuable skills; reliance on generative AI tools can limit the building of those skills and make evaluation of work difficult. For this reason, this class allows some uses of AI and prohibits other uses:

Permitted uses of AI in DEV-101:

- Doing research with AI-powered search, for sources or examples
- Using AI as a brainstorm partner to come up with multiple rounds of ideas and refine them
- Generating/editing code or seeking technical help with R, Excel formulas, Python, or other languages
- Discussing a course concept with AI, or checking that your understanding is correct
- Use AI to check and suggest fixes to grammar and spelling

Prohibited uses of AI in DEV-101:

- Using AI to summarize readings
- Using AI to clean up a data set or generate summary statistics
- Inserting a homework question directly into AI and submitting the output
- Using AI to suggest the steps for analysis or interpretation
- Asking an AI tool to suggest conclusions or recommendations from evidence
- Asking an AI tool to check or critique an analysis or interpretation.
- Using AI to outline / plan out a paper, memo, speech or other communication
- Using AI to write or rewrite a paper, memo, speech or other communication
- Using AI to critique a draft of a written work product or suggest revisions
- Using AI to create slides
- Using AI to generate visualizations, charts, or images
- Using AI to articulate arguments for/against a position
- <u>Using AI in any capacity during the midterm and final exams</u>

Important: If you choose to employ AI for the allowed uses above, you are required to cite it as a reference as you would with any other source. You should also note that AI is not always a reliable source, and you are responsible for verifying any fact or argument you report in your assignments. If you have any doubt about whether a specific use of generative AI is permitted, you should discuss it with your instructor prior to using it. These tools are changing rapidly, and we anticipate this policy will evolve alongside advancements in AI, with feedback from students and instructors.

TF review sessions

The live review sessions will go over concepts covered in class that may need more elaboration/discussion. As and when required, they will cover short summaries of additional empirical work that is closely related to what we have studied and can help in expanding your knowledge base. The additional material covered can enrich your responses to questions in the exams or problem sets, but it will not be directly tested upon and you are not required to read the papers on which it will be based. The TF will hold office hours, in case any students would like to go over session content.

READING LIST INFORMATION

The reading list below includes the URLs for those papers that can be downloaded from the internet. The majority of the papers and articles for this course are available on the Canvas site. If the links become broken, then you can find the articles by searching Harvard library's e-Journals using the following link: http://sfx.hul.harvard.edu/sfx_local/az/. Type in the journal name and select a database that has issues for the year of the article. Each database is set up differently, but the citation will have all the information necessary to obtain the article.

Required readings for this course include readings that are available on the class page on Canvas and readings from the book below that is available on digital reserves through the HKS library or for purchase at the Coop.

- Koyama, Mark, and Jared Rubin. *How the World Became Rich: The Historical Origins of Economic Growth,* Polity Press, 2022.

Please check Canvas frequently for announcements and other information.

Readings marked with ** are required readings for this class. These are usually papers that set the tone for a module or provide an overarching understanding of the material that will be covered in class. Readings with * are readings that are strongly recommended; these will deepen your understanding of the material and will provide you with additional material you can use in writing better answers in exams. Some readings without any stars may also be referred to in the lectures or review sessions. These papers may be important examples of the material being discussed and contribute towards enriching your knowledge on the topic. While you don't need to read these papers, you will be expected to know their content to the extent that is covered in the lectures and review sessions. Keep in mind that the goal of the syllabus is to create a resource for you that you can use to extend the breadth and depth of your knowledge on development economics throughout your MPA/ID studies and beyond.

Accessibility and Accommodations for Student Learning

Harvard University values inclusive excellence and providing equal educational opportunities for all students. Our goal is to remove barriers for disabled students related to inaccessible elements of instruction or design in this course. If reasonable accommodations are necessary to provide access, please contact the local disability coordinator, Melissa Wojciechowski St. John (melissa_wojciechowski@hks.harvard.edu). She is the Senior Director of Student Services in the HKS Office of Student Services. Accommodations do not alter fundamental requirements of the course and are not retroactive. Students should request accommodations as early as possible, since they may take time to implement. Students should notify Melissa at any time during the semester if adjustments to their communicated accommodation plan are needed.

IMPORTANT DATES AND COURSE STRUCTURE

Part 1: Introduction and Framework

No.	Day	Date	Topic	Lecturer
1	Fri	Sept 5	Stylized facts of economic development	DR
2	Mon	Sept 8	Doing development policy: The diagnostic approach	DR
3	Wed	Sept 10	Understanding productivity	DR

Part 2: History and Comparative Development

No.	Day	Date	Topic	Lecturer
4	Mon	Sept 15	The Industrial Revolution and its sources	DR
5	Wed	Sept 17	Colonialism, the great divergence, and its present-day ramifications	DR
6	Mon	Sept 22	Recent patterns of economic growth in the developing world	DR
7	Wed	Sept 24	From macro- to micro-development: The role of policy evaluation ***Assignment #1 –due at 8:30am***	ELF

Part 3: Understanding Household Decisions

No.	Day	Date	Topic	Lecturer
8	Mon	Sep 29	Economics of the family	ELF

Part 4: Factor Accumulation

No.	Day	Date	Topic	Lecturer
9	Wed	Oct 1	Human capital: Education (1)	ELF
10	Mon	Oct 6	Human capital: Education (2)	ELF
11	Wed	Oct 8	Human capital: Marriage and fertility	ELF
12	Wed	Oct 15	Human capital: Health	ELF
13	Mon	Oct 20	**MIDTERM EXAM**	
14	Wed	Oct 22	Physical capital: Investment, intermediation, and saving (1)	ELF
15	Mon	Oct 27	Physical capital: Investment, intermediation, and saving (2)	ELF

Part 5: Productivity Growth

No.	Day	Date	Topic	Lecturer
16	Wed	Oct 29	Misallocation, learning, and coordination failures (1)	DR
17	Mon	Nov 3	Misallocation, learning, and coordination failures (2)	DR
18	Wed	Nov 5	Agriculture (1)	ELF
19	Mon	Nov 10	Agriculture (2)	ELF
20	Wed	Nov 12	Productive development policies	DR

Part 6: Economic Reform, Political and Social Constraints

No.	Day	Date	Topic	Lecturer
21	Mon	Nov 17	Analytics of economic reform: Theory of second best ***Assignment #2 –due at 8:30am***	DR
22	Wed	Nov 19	Poverty traps	ELF
23	Mon	Nov 24	Political economy	DR
24	Mon	Dec 1	Social norms	ELF
25	Wed	Dec 3	General discussion and wrap-up	ELF
	Wed	Dec 10	**FINAL EXAM (9am-12pm)**	

COURSE OUTLINE AND READINGS*
*tentative and subject to change

**** = required readings (before lecture); * = strongly recommended readings;**
no stars = additional reading for further background

Most required readings are available online (by clicking on the title). Required readings that are not linked in this syllabus can be found on Canvas.

PART 1: INTRODUCTION AND FRAMEWORK

1. Stylized facts of economic development (Sept 5, DR)

- ** Roser, Max. 2023. "Extreme poverty: How far have we come, and how far do we still have to go?" Published online at OurWorldInData.org, August 27, 2023.
- ** Chandy, Laurence. 2023. "Economic Development in an Era of Climate Change," Carnegie Endowment for International Peace, January 2023.
- Page, Lucy and Rohini Pande. 2018. "Ending Global Poverty: Why money isn't enough," *Journal of Economic Perspectives*, 32(4): 173-200.
- Filippini, Federico and Eduardo Levy Yeyati. 2022. "Pandemic Divergence: A Short Note on COVID-19 and Global Income Inequality." Brookings Global Working Paper 168, March.
- Carolina Diaz-Bonilla et al., "April 2024 Update to the Multidimensional Poverty Measure: What's New," Global Poverty Monitoring Technical Note 38, World Bank, June 2024.
- Mkandawire, Thandika. 2010. "How the New Poverty Agenda Neglected Social and Employment Policies in Africa." *Journal of Human Development and Capabilities*, 11(1): 37-55.
- Milanovic, Branko. 2021. "After the financial crisis: the evolution of the global income distribution between 2008 and 2013," *Review of Income and Wealth*, 68 (1): 43-73.
- Rodrik, Dani, 2015. *Economics Rules: The Rights and Wrongs of the Dismal Science*, W.W. Norton, chaps. 1-4.

2. Doing development policy: The diagnostic approach (Sept 8, DR)

- ** Rodrik, Dani. 2010. "Diagnostics before Prescription," *Journal of Economic Perspectives*, 24(3): 33-44.
- ** Rodrik, Dani. 2009. "The New Development Economics: We Shall Experiment, but How Shall we Learn?" in J. Cohen and W. Easterly, eds., *What Works in Development? Thinking Big and Thinking Small*, Brookings Institution Press, Washington, DC.
- * Gelman, Andrew, and Guido Imbens. 2013. "Why Ask Why: Forward Causal Inference and Reverse Causal Questions." NBER Working Paper 19614.
- Thorbecke, Erik. 2019. "The History and Evolution of the Development Doctrine, 1950-2017," in M. Nissanke and J. Ocampo, eds., *The Palgrave Handbook of Development Economics*, 61-108.

3. Understanding productivity (Sept 10, DR)

- ** Jones, Charles I. 2015. "The Facts of Economic Growth." NBER Working Paper No. 21142.
- ** Caselli, Francesco. 2005. "Accounting for Cross-Country Income Differences," chapter 9 in P. Aghion and S. Durlauf, eds., *Handbook of Economic Growth*, 1A. North Holland. ***Please read only pp. 680-690, 717-724.***
- * Barro, Robert J. 1999. "Notes on Growth Accounting," *Journal of Economic Growth,* 4: 119-137.
- Conference Board, Total Economy Database, Growth Accounting and Total Factor Productivity, 1990-2019. ***(This is a database. Look at and understand the growth decompositions for four countries that interest you.)***
- Bosworth, Barry and Susan M. Collins. 2003. "The Empirics of Growth: An Update," Brookings Papers on Economic Activity, 2: 113-206.
- Hall, Robert E. and Charles I. Jones. 1999. "Why Do Some Countries Produce So Much More Output Per Worker Than Others?" *Quarterly Journal of Economics*, 114(1): 83-116.
- Hsieh, Chang-Tai and Peter Klenow. 2007. "Relative Prices and Relative Prosperity," *American Economic Review*, 97(3): 562-585.
- Felipe, Jesus and John McCombie. 2017. "The Debate about the Sources of Growth in East Asia after a Quarter of a Century: much ado about nothing," Asian Development Bank, Working Paper No. 512.
- Clemens, Michael, Claudio Montenegro and Lant Pritchett. 2009. "The Place Premium: Wage Differences for Identical Workers Across the US Border." World Development Bank Report Background Paper.

PART 2: HISTORY AND COMPARATIVE DEVELOPMENT

4. The Industrial Revolution and its sources (Sept 15, DR)

- ** Koyama, Mark, and Jared Rubin. *How the World Became Rich: The Historical Origins of Economic Growth,* Polity Press, 2022, chapters 2, 3, 4, and 8.
- Allen, Robert C. 2011. *Global Economic History: A Very Short Introduction*, Oxford University Press, chapter 3: 27-39.
- Mokyr, Joel. 2011. "The European Enlightenment, the Industrial Revolution, and Modern Economic Growth," in P. Zumbansen and G.P. Calliess, eds., *Law, Economics and Evolutionary Theory*. Edward Elgar Publishing.
- Acemoglu, Daron, Simon Johnson, and James A. Robinson. 2005. "The Rise of Europe: Atlantic Trade, Institutional Change, and Economic Growth," *American Economic Review*, 95(3): 546-579.
- Mukherjee, Aditya. 2010. "Empire: How Colonial India Made Modern Britain." *Economic and Political Weekly*, 45(50), December 11-17: 73-82.
- Nicholas Crafts. 2021. "Understanding Productivity Growth in the Industrial Revolution." *Economic History Review,* 74(2): 309–338.
- Acemoglu, Daron, Simon Johnson, and James A. Robinson. 2002. "Reversal of Fortune: Geography and Institutions in the Making of the Modern World Income Distribution." *Quarterly Journal of Economics*, 117: 1231–9.
- Clark, Gregory. 2007. *A Farewell to Alms: A Brief Economic History of the World*. Princeton University Press, chapters 10-13.

5. Colonialism, the great divergence, and its present-day ramifications (Sept 17, DR)

- ** Koyama, Mark, and Jared Rubin. *How the World Became Rich: The Historical Origins of Economic Growth,* Polity Press, 2022, chapter 6.
- ** Engerman, Stanley L., and Kenneth L. Sokoloff. 2002. "Factor Endowments, Inequality, and Paths of Development among New World Economies." *Economia*, 3: 41–88. ***Please read only pp. 41-83.***
- * Nunn, Nathan. 2008. "The Long-Term Effects of Africa's Slave Trades." *Quarterly Journal of Economics*. 2008; 123 (1): 139-176. ***Please read only pp. 139-144, 151-156, 163-169.***
- * Acemoglu, Daron, Simon Johnson, and James A. Robinson. 2001. "The Colonial Origins of Comparative Development: An Empirical Investigation." *American Economic Review*. 91: 1369–1401.
- * Dell, Melissa. 2010. "The Persistent Effects of Peru's Mining Mita." *Econometrica*, 78 (6), November: 1863–1903.
- Banerjee, Abhijit, and Lakshmi Iyer. 2005. "History, Institutions, and Economic Performance: The Legacy of Colonial Land Tenure Systems in India." *The American Economic Review*, 95 (4), September: 1190-1213.
- Iyer, Lakshmi. 2010. "Direct versus Indirect Colonial Rule in India: Long-Term Consequences," *The Review of Economics and Statistics*, MIT Press, 92 (4), November: 693-713.
- Nunn, Nathan, and Leonard Wantchekon. 2011. "The Slave Trade and the Origins of Mistrust in Africa." *American Economic Review*. 101 (7): 3221-3252.
- Pascali, Luigi. 2017. "The Wind of Change: Maritime Technology, Trade, and Economic Development," *American Economic Review*. 107 (9): 2821–2854.
- Conley, Timothy G. and Morgan Kelly. 2025. "The Standard Errors of Persistence." *Journal of International Economics*. 153.
- Court, Victor. 2019. "A reassessment of the Great Divergence debate: towards a reconciliation of apparently distinct determinants," *European Review of Economic History*.

6. Recent patterns of economic growth in the developing world (Sept 22, DR)

- ** Rodrik, Dani. 2014. "The Past, Present, and Future of Economic Growth," in Franklin Allen et al., *Towards a Better Global Economy: Policy Implications for Citizens Worldwide in the 21st Century*, Oxford University Press, Oxford and New York.
- * Diao, Xinshen, Margaret McMillan, and Dani Rodrik. 2019. "The Recent Growth Boom in Developing Economies: A Structural-Change Perspective," in M. Nissanke and J. Ocampo, eds., *The Palgrave Handbook of Development Economics*, 281-384.
- * Kremer, Michael, Jack Willis, and Yang You. 2022. "Converging to Convergence." *NBER Macroeconomics Annual*, 36: 337-412.
- Thorbecke, Erik. 2019. "The History and Evolution of the Development Doctrine, 1950-2017," in M. Nissanke and J. Ocampo, eds., *The Palgrave Handbook of Development Economics*, 61-108.
- Egger, Dennis, Johannes Haushofer, Edward Miguel, Paul Niehaus, and Michael Walker. 2022. "General Equilibrium Effects of Cash Transfers: Experimental Evidence from Kenya." *Econometrica*, 90 (6): 2603-2643.
- Rodrik, Dani. 2013. "Unconditional Convergence in Manufacturing," *Quarterly Journal of Economics*, 128 (1): 165-204.
- Rodrik, Dani. 2016. "Premature Deindustrialization," *Journal of Economic Growth*, 21: 1-33.

7. From macro- to micro-development: The role of policy evaluation (Sept 24, ELF)

- ** Buera, F., J. Kaboski and R. Townsend. 2023. "From Micro to Macro Development," *Journal of Economic Literature*, 61(2), 471-503.

PART 3: UNDERSTANDING HOUSEHOLD DECISIONS

8. Economics of the family (Sept 29, ELF)

- ** Bardhan, P. and C. Udry (1999), "Household Economics," ch. 2 in *Development Microeconomics*, Oxford University Press.
- ** Duflo, E. (2003), "Grandmothers and Granddaughters: Old-Age Pensions and Intrahousehold Allocation," *World Bank Economic Review*, 17, 1-25.
- Thomas, D. (1990). "Intra-household Resource Allocation: An Inferential Approach." *Journal of Human Resources*, 25(4), 635-664.

PART 4: FACTOR ACCUMULATION

9, 10. Human capital: Education (Oct 1-6, ELF)

- ** Beaman, Lori, et al. 2012. "Female Leadership Raises Aspirations and Educational Attainment for Girls: A Policy Experiment in India." *Science*, 335 (6068): 582-586.
- ** Duflo, Esther. 2001. "Schooling and Labor Market Consequences of School Construction in Indonesia: Evidence from an Unusual Policy Experiment." *American Economic Review*, 91 (4): 795-813.
- ** Jensen, Robert. 2010. "The (Perceived) Returns to Education and the Demand for Schooling," *The Quarterly Journal of Economics*, 125 (2): 515-548.
- Ashraf, N. N. Bau, C. Low and K. McGinn (2020), "Negotiating a Better Future: How Interpersonal Skills Facilitate Intergenerational Investment," *Quarterly Journal of Economics*, 1095-1151.
- Dizon-Ross, Rebecca. 2019. "Parents' Beliefs about their Children's Academic Ability: Implications for Educational Investments." *American Economic Review*, 109 (8): 2728-65.
- Field, Erica, and Attila Ambrus. 2008. "Early Marriage, Age of Menarche, and Female Schooling Attainment in Bangladesh." *Journal of Political Economy*, 116 (5): 881-930.
- Kremer, Michael, Conner Brannen, and Rachel Glennerster. 2013. "The Challenge of Education and Learning in the Developing World." *Science,* 340 (6130): 297-300.
- Oster, Emily, and Bryce Millett Steinberg. 2013. "Do IT Service Centers Promote School Enrollment? Evidence from India." *Journal of Development Economics*, 104: 123-135.
- Riley, Emma. 2024. "Role models in Movies: The Impact of Queen of Katwe on Students' Educational Attainment." *The Review of Economics and Statistics*, 106 (2): 334-351.

11. Human capital: Marriage and fertility (Oct 8, ELF)

- ** La Ferrara, Eliana, Alberto Chong, and Suzanne Duryea. 2012. "Soap Operas and Fertility: Evidence from Brazil." *American Economic Journal: Applied Economics*, 4(4): 1-31.
- * Corno, L., N. Hildebrandt and A. Voena (2020), "Age of Marriage, Weather Shocks, and the Direction of Marriage Payments," *Econometrica*, 879-915.

- * Bau, N., D. Henning, C. Low, and B. Steinberg (2024), "Family Planning, Now and Later: Infertility Fears and Contraceptive Take-Up", NBER Working Paper 32735.
- Buchmann, N., E. Field, R. Glennerster, S. Nazneen, X. Wang. 2023. "A Signal to End Child Marriage: Theory and Experimental Evidence from Bangladesh," *American Economic Review*, 113 (10): 2645-2688.

12 . Human capital: Health (Oct 15, ELF)

- ** Miguel, Edward, and Michael Kremer. 2004. "Worms: Identifying Impacts on Education and Health in the Presence of Treatment Externalities." *Econometrica*, 72 (1): 159-217.
- * Dupas, P. (2014), "Short-Run Subsidies and Long-Run Adoption of New Health Products: Evidence from a Field Experiment," *Econometrica*, 82(1), 197-28. **Sections 1, 2, 3 only.**
- Kremer, Michael, and Rachel Glennerster. 2011. "Improving Health in Developing Countries: Evidence from Randomized Evaluations," in *Handbook of Health Economics*, 2, Elsevier, ch. 4, pp. 201-315.

13. MIDTERM EXAM (October 20)

14, 15. Physical capital: Investment, intermediation and savings (Oct 22-27, ELF)

Credit markets

- ** De Mel, Suresh, David McKenzie, and Christopher Woodruff. 2008. "Returns to Capital in Microenterprises: Evidence from a Field Experiment." *The Quarterly Journal of Economics,* 123 (4): 1329-1372.
- * Karlan, Dean, and Jonathan Morduch. 2010. "Access to Finance." *Handbook of Development Economics*, 5, Elsevier, pp. 4703-4784.
- * Ghatak, Maitreesh. 1999. "Group Lending, Local Information and Peer Selection." *Journal of Development Economics*, 60 (1): 27-50.
- J-PAL. 2015. "Where Credit is Due," Policy Bulletin.
- Banerjee, Abhijit, et al. 2015. "The Miracle of Microfinance? Evidence from a Randomized Evaluation." *American Economic Journal*: *Applied Economics*, 7 (1): 22-53.
- Feigenberg, Benjamin, Erica Field, and Rohini Pande. 2013. "The Economic Returns to Social Interaction: Experimental Evidence from Microfinance." *Review of Economic Studies*, 80 (4): 1459-1483.
- Karlan, Dean, and Jonathan Zinman. 2009. "Observing Unobservables: Identifying Information Asymmetries with a Consumer Credit Field Experiment." *Econometrica*, 77 (6): 1993-2008.

PART 5: PRODUCTIVITY GROWTH

16. Misallocation, learning and coordination failures I (Oct 29, DR)

- ** Hsieh, Chang-Tai and Peter J. Klenow. 2009. "Misallocation and Manufacturing TFP in China and India," *Quarterly Journal of Economics*, 124 (4): 1403-1448. ***Please read only pp. 1403-1411, 1414-1426.***
- ** McMillan, Margaret, and Dani Rodrik. 2011. "Globalization, Structural Change, and Productivity Growth," in M. Bachetta and M. Jansen, eds., *Making Globalization Socially Sustainable*, International Labor Organization and World Trade Organization, Geneva. ***Please read only pp. 49-75.***

- * Matsuyama, Kiminori. 1992. "Agricultural Productivity, Comparative Advantage, and Economic Growth," *Journal of Economic Theory*, 58(2): 317-334. ***Please read only pp. 317-328.***
- de Vries, Klaas, and Marcel Timmer. 2015. "Structural Transformation in Africa: Static Gains, Dynamic Losses," *Journal of Development Studies*, 51(6): 674-688.
- Fentanes, Oscar, and Santiago Levy. 2023. "Nafta, Dysfunctional Firm Dynamics, and Mexico's Dismal Productivity Performance," unpublished paper, June 2023.
- Banerjee, Abhijit and Esther Duflo. 2005. "Growth Theory Through the Lens of Development Economics," chapter 7 in P. Aghion and S. Durlauf, eds., *Handbook of Economic Growth*, 1A, North Holland.
- Hicks, Joan Hamory, Marieke Kleemans, Nicholas Y. Li, and Edward Miguel. 2021. "Reevaluating Agricultural Productivity Gaps with Longitudinal Microdata," *Journal of the European Economic Association*, 19(3): 1522-1555.
- Bartelsman, Eric, John Haltiwanger, and Stefano Scarpetta. 2013. "Cross-Country Differences in Productivity: The Role of Allocation and Selection," *American Economic Review*, 103(1): 305-334.
- Acemoglu, Daron, Philippe Aghion, and Fabrizio Zilibotti. 2006. "Distance to Frontier, Selection, and Economic Growth," *Journal of European Economic Association*, 4 (1): 37-74.
- Aghion, Philippe, Robin Burgess, Stephen Redding, and Fabrizio Zilibotti. 2008. "The Unequal Effects of Liberalization: Evidence from Dismantling the License Raj in India," *American Economic Review*, 98(4): 1397-1412.
- Hausmann, Ricardo, Jason Hwang, and Dani Rodrik. 2007. "What You Export Matters," *Journal of Economic Growth*, 12: 1-25.

17. Misallocation, learning and coordination failures II (Nov 3, DR)

- ** Hausmann, Ricardo and Dani Rodrik. 2003. "Economic Development as Self-Discovery," *Journal of Development Economics*, 72(2): 603-633.
- ** Murphy, Kevin M., Andrei Shleifer, and Robert W. Vishny. 1989. "Industrialization and the Big Push," *Journal of Political Economy*, 97(5): 1003-1026. ***Please read only pp. 1003-1013, 1019-1025.***
- Sabel, Charles and Piero Ghezzi. 2019. "Rethinking Informality," unpublished paper.
- Magruder, Jeremy R. 2013. "Can Minimum Wages Cause a Big Push? Evidence from Indonesia," *Journal of Development Economics*, 100(1): 48-62.
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FINAL EXAM (December 10)